**University of the Philippines - Diliman**
**Cesar E.A. Virata School of Business**
**Department of Accounting and Finance**

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| *Course Title:* | **Sales, Agency, And Other Business Transactions** |
| *Course Code:* | **BA 166 WFZ** |
| *Course Credit:* | 3 units |
| *Lecturer:* | Carmille Addi Urzula B. Romero-Aratea<br>Email: cbromero@up.edu.ph |

*Court Description:*

Overview of the legal framework for special business contracts and laws governing other business-related transactions

*Grading System:*

10% - Recitation/Activities
30% - 1st Examination
30% - 2nd Examination
30% - Departmental Final Examination

*Transmutation Table:*

| | | | |
|---|---|---|---|
| 97-100 | - 1.00 | 77-80 | - 2.25 |
| 93-96 | - 1.25 | 73-76 | - 2.50 |
| 89-92 | - 1.50 | 69-72 | - 2.75 |
| 85-88 | - 1.75 | 65-68 | - 3.00 |
| 81-84 | - 2.00 | <65 | - 5.00 |

*Course Outline:*

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**SALES & OTHER RELATED LAWS**

**I. LAW ON SALES**
*(Refer to the New Civil Code, unless otherwise stated)*

1. Introduction

2. Concept of Contract of Sale
    A. Concept of sale (1458)
    B. Characteristics of contract of sale
    C. Essential elements (1318)
        i. Consent
        ii. Object
        iii. Cause
    D. Natural and accidental elements
    E. Sale not a mode, but title (712)
    F. Stages of a contract of sale
        i. Negotiation
        ii. Perfection
        iii. Consummation
    G. Kinds of contract of sale
        i. Absolute
        ii. Conditional (1461, 1462, 1465, 1503)
    H. Contract to Sell (1478, Salazar v. Court of Appeals, Castillo v. Reyes, United Muslim and Christian Urban Poor Association v. BRYC-V Development Corporation)
    I. Distinguished from other contracts
        i. Donation (725, 1471)
        ii. Barter and Exchange (1468, 1638-1641)
        iii. Contract for a piece of work (1467, 1713-1715)
        iv. Agency to buy and sell (1466, 1868)
        v. Dacion en Pago (1245)
        vi. Lease (1643-1645)

3. Parties
    A. Persons who may enter into a contract of sale (37-39, 46, 1489)
    B. Type of incapacity
        i. Absolute
        ii. Relative
    C. Rules applicable to specific sellers/buyers
        i. Minors (1327, 1390, 1399, 1403[3], 1489, 290; Family Code 194)
            a. sale to and by minors
            b. sale between minors
        ii. Old age and sickness (24)

iii. Husband and wife (1409, 1490, 1492; Family Code 96, 124)
a. Contract with third parties (Family Code 73, 96, 124)
b. Between spouses (1490, 1492)
c. Applicability to common law spouses (Family Code 133, 147-148)
iv. Persons disqualified to buy specific properties (1491, 1492)

4. Formation (1318(1))
A. Preparatory (1479)
i. Offer
a. Contract Rules (1318-1326)
ii. Vices of consent (1330, 1331, 1338)
iii. Option Contract (1479, 1324, Sanchez v. Rigos)
iv. Right of First Refusal (Tanay Recreation Center v. Fausto)
v. Mutual Promise to buy and sell (1479)
B. Perfection (1475)
i. When deviation allowed (Villonco v. Bormaheco)
ii. Sale by Auction (1476, 1403, 1326)
iii. Earnest money vs. Option money (1482)
iv. Place of perfection (1391)
v. Expenses of Execution and Registration (1487, 1521)
vi. Expropriation (1488)
C. Formalities of contract
i. In General (1356-1358, 1483)
ii. Form required for enforceability: Statute of Frauds (1403, 1405, 1406)
iii. Form required for validity (1356)
a. Sale of Realty through an Agent (1874)
b. Sale of large cattle (1581)
iv. Form required for convenience of the parties (1358)
D. Consummation

5. Subject Matter or Object (1318(2))
A. Classification of property
i. Based on Mobility (414-417)
ii. Based on Ownership (419-422)
iii. Based on Existence (present or future)
B. General requirements
i. Determinate (1460, 1349, 1409[6])
ii. Licit (1347, 1459, 1409[1], 1575)
iii. Within the commerce of men (1347, 1409[4])
iv. Possible (1348)
v. Exist, Future or Contingent (1347, 1409[3], 1461, 1462)
a. Existing goods (1462)
b. Future goods (1462)
c. Things having a potential existence
xi. Emptio Rei Speratae/ Emptio Spei (1461, 1347)
xii. Resolutory condition (1465, 1608)

C. Sale of specific things
    i. Things in litigation (1381(4), 1385)
    ii. Undivided interest in a thing (1463, 493)
    iii. Undivided share of a specific mass (1464)

6. Cause or consideration (1318(3))
    A. Contract Rules (1350-1355, 1409(3))
    B. General Requirements
        i. Certain or Ascertainable
            a. When price certain (1469, 1472, 1473, 1182)
            b. Effect when price not certain (1474)
        ii. Real
            a. Adequacy of price (1355, 1381(1), 1470)
            b. Simulated price (1345, 1346, 1471)
            c. False price
        iii. Licit or Lawful (1409[1], 1417]
        iv. In Money or Equivalent (1468)

7. Obligations of the Seller
    A. Take care of thing pending delivery (1163)
    B. Transfer of ownership
        i. General rule (1477, 1496, 1497)
        ii. Exceptions
            a. Sale on return (1502)
            b. Sale on approval, trial or satisfaction (1502)
            c. Express reservation (1478)
            d. Implied Reservation (1503)
            e. When sale not valid
            f. When seller is not the owner
        iii. Rules on sale by a non-owner
            a. General Rule (1462, 1459, 1505)
                xi. When right to transfer must exist
            b. Exceptions
                xi. Estoppel (1431)
                    - Subsequent acquisition of title (1434)
                xii. Statutory Sales (1505(2))
                xiii. Sale in Merchant's Store, Market or Fair (1505(3))
                iv. Rules on sale by a person having a voidable title (1506, 559)
    C. Delivery of the thing
        i. General Rule (1496)
        ii. Kinds of delivery
            a. Real or actual delivery (1497)
            b. Constructive delivery
                1. Execution of a public document (1498)
                2. Traditio longa manu (1498, 1499, 1513, 1514)
                3. Traditio brevi manu (1499)

4. Traditio Constitutum Possessorium (1500)
5. Delivery to common carrier (1523, 1503)
- FOB sales - CIF sales - FAS

iii. Incidents of delivery
a. What should be delivered (1164, 1537)
b. Place of delivery (1521)
c. Time of delivery (1521)
1. Reasonable Time
2. When time is of essence
d. Expenses of delivery (1521)
e. Inspection and acceptance (1584(2)(3))
1. Acceptance not a condition to delivery

iv. When vendor not bound to deliver (1524, 1536, 1198)
v. Rules on sale of goods/movables (1537, 1480)
a. Wrong quantity (1522)
b. Installments (1583)
vi. Rules on sale of immovable (1543)
a. Where price is at certain rate per unit (1539, 1540)
b. Sale for a lump sum (1542)

D. Warrant (See Subsection 9)
E. Pay expenses (1487)

8. Obligations of the Buyer
A. Pay price (1582)
i. Interest (1589)
ii. Suspension of payments (1590, 1664)
B. Accept delivery
i. Modes (1585)
a. Right to Examine (1584)
ii. Effect of acceptance (1586)
iii. Justifications for refusal (1587, 1588)
iv. Delivery by installments (1583)
v. Right to examine goods prior to delivery (Art. 1584)
C. Bear expenses (1521, last par.)

9. Double Sale (1544)
A. Requisites (Cheng v. Genato)
B. Specific Rules
i. Movables
a. Possession; how acquired (523-525, 531, Sanchez v. Ramos)
b. Good Faith (527-529)
ii. Immovables
a. Good faith (Paylago v. Jarabe)
b. Registration c. Possession
d. Oldest title

10. Representations and Warranties
    A. Meaning of representations and warranties
        i. Relating to the contract itself
        ii. Relating to the subject matter of the contract
        iii. Relating to the parties
    B. Type of warranties
        i. Express
        ii. Implied
    C. Representations and warranties of the seller
        i. Express (1546)
            a. Distinguished from other terms
                1. Conditions (1545)
                2. Opinion, dealer's talk (1546, 1341)
        ii. Implied
            a. Implied warranty of title (1547(1))
                1. Concept (1548-1560)
                2. Meaning and types of eviction (1548)
                3. Properties and Sales Covered (1547, 1630, 1631,1552)
                4. Essential Elements
                    - Total or partial eviction of buyer (1548)
                    - Buyer evicted by final judgment (1557, 1549)
                    - Judgment based on right before the sale or an act imputable to seller (1548, 1550, 1551)
                    - Seller summoned and made co-defendant (1558, 1559)
                    - Buyer did not waive warranty (1548, 1553,1554)
                5. Buyer's remedies (1555, 1556)
                6. Immovable encumbered with non-apparent burden (1560)
            b. Implied warranty against hidden encumbrances and defects (1547(2))
                1. Concept (1561, 1566, 1572-1581)
                2. Properties and Sales Covered (1570)
                3. Essential Elements
                    - Defect hidden
                    - Defect serious
                    - Defect existing at the time of the sale
                    - Buyer gives notice of defect
                    - Buyer did not waive warranty
                4. Buyer's remedies
                    - Accion redhibitoria
                    - Accion quanti minoris
                5. Loss on account of hidden defects (1568, 1569)
                6. Warranty in sales of animals (1572-1581)
            c. Implied warranty as to quality
                1. Concept (1562, 1564)
                    - Fitness for a particular purpose
                    - Merchantable quality

2. Properties and Sales Covered (1570)
3. Buyer's remedies (1567, 1571)
- Accion redhibitoria
- Accion quanti minoris
4. Special rules
- Sale under a patent or trade name (1563)
- Sale of goods by sample (1565)

D. Representations of the buyer

11. Rules on Risk of Loss and Deterioration

A. Rules on risk of loss and deterioration as a result of a fortuitous event

i. Prior to perfection of contract

ii. At time of perfection of contract (1409(3), 1493, 1494)

iii. After perfection of contract but before delivery (1480, 1163-1165, 1262-1263, 1269, 1504, 1537-1538, 1189[1,3])

iv. After delivery of the thing (1504, 1568, 1569)

B. Rules on risk of loss and deterioration for acts of the seller or buyer (1480, 1165, 1262-1263, 1504[2], 1538, 1189)

C. Specific transactions

i. Transfer of ownership of goods to the buyer without actual delivery (1504)

ii. Retention of title by seller only for security (1504)

iii. Conditional sales

iv. "On sale or return" (1502)

v. "On approval or on trial" (1502)

vi. Thing sold with hidden defect (1569)

12. Action and Remedies Available in case of Breach

A. Actions available (1594)

i. Actions available to seller

a. Action for Price (1595)

b. Damages (1596)

c. Rescission (1597)

ii. Actions available to buyer

a. Specific performance (1598)

b. Damages (Art. 1599)

B. Remedies available

i. Remedies available to seller

a. Remedies available to unpaid seller

1. Lien on the goods (1525-1529, 1535)
2. Right of stoppage of goods in transitu (1530-1532, 1535)
3. Right of resale (1533)
4. Right of rescission (1534)

b. Rescission

1. In case of fear of loss of immovable property and price (1591)
2. In case of sale of immovable property (1592)
3. Rescission in case of sale of movable property (1593)

ii. Remedies available to buyer
a. Sale of goods by description and/or sample (1481)
b. Loss of specific goods (1494)
c. Delivery of goods more or less than the quantity contracted (1522)
d. Goods mixed with goods of a different description not included in contract (1522)
e. Sale of real property by unit of measure (1539, 1540, 1541, 1543)
f. Sale of real property made of a lump sum (1542, 1543)
g. Suspension of payments (1590)

C. Special laws
i. Recto Law (1484-1486)
a. Transactions covered and not covered
b. Remedies available to the seller
c. Election of remedies
ii. Maceda Law (Refer to R.A. No. 6552)
a. Purpose of the law (Sec. 2)
b. Transactions covered and not covered (Sec. 3)
c. Rights granted to the buyer
1. At least two years of installments (Sec. 3)
2. Less than two years of installments (Sec. 4)
3. Other rights of the buyer (Secs. 5, 6)
d. Stipulations to the contrary (Sec. 7)
iii. Sale of Condominium Units (Refer to PD No. 957)
a. Coverage (2(b), (g), (h))
b. Issuance of Title (25)
c. Failure to pay installment
1. With cause (23)
2. Without cause (24)

13. Extinguishment of Sale
A. Causes (1231, 1600)
B. Conventional redemption (1601)
i. Distinguished from equitable mortgage (1602-1604, 2088)
ii. Distinguished from option to buy (1602)
iii. Who exercises right
a. Vendor, his assigns and heirs
b. Vendor's creditor (1610)
c. Co-owners and co-heirs (1612, 1613, 1614)
iv. From whom to redeem (1608, 1615)
a. Vendee
b. Vendee's assigns (1608)
c. Vendee's heirs (1615)
v. Period to redeem (1606)
vi. How exercised (1616)
vi. Effect of redemption and non-redemption
a. Consolidation of ownership (1607)

b. Subrogation of vendee (1609)
c. Redemption of entire property (1611)
d. Distribution of fruits (1617)
e. Return free from liens and encumbrances (1618)

C. Legal redemption
i. When applicable
a. Co-owners (1620)
b. Co-heirs (1088)
c. Adjoining land-owners of rural land (1621)
d. Adjoining land-owners of urban land (1622)
ii. Period to redeem (1623)
iii. Exercise of right to redeem (1623)
iv. Redemption/pre-emption under special laws
a. Land acquired under free patent or homestead (C.A. No. 141, sec. 119)
b. Extra-judicial foreclosure of mortgage (Act No. 3135, sec. 6)
c. Agricultural land (R.A. No. 3844, sec. 12)

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**II. CONSUMER PROTECTION ACT**
*(Refer to RA 7394, unless otherwise stated)*

1. Purpose and Policy (2)
A. Coverage (4(m), (n), (q), (s), (ac), (ar), (as), (ba), (bi), (bk), (bn), (bo), (bp), (bu))

2. Consumer Product Quality and Safety (5)
A. Consumer Protection Standards (7-9, 12, 14)
B. Injurious, Dangerous and Unsafe Products (10-11)
C. Special Rules
i. New Products (4(ax), 13)
ii. Imported Products (15)
iii. For Export Products (16)
iv. Food (4(ag), 23-27)
v. Drugs (4(ad), 4(aw), 29-33)
a. Drugs with Antibiotics (34)
vi. Cosmetics (4(u), 35)
vii. Hazardous Substances (4(ak), 4(az), 4(bq), 4(g), 44-45)
D. Prohibited Acts (18, 19, 40, 41, 46, 47)

3. Deceptive, Unfair, and Unconscionable Sales Acts and Practices (48, 49, 4(s), 60)
A. Deceptive Acts (50, 51)
B. Unfair or Unconscionable Acts (52, Aowa Electronics v. DTI)
C. Other Regulated Sales Acts (4(k), 4(am), 4(bh), 53-59)
D. Rules on Weights and Measures (62-65)
E. Rules on Advertising (4(a)-(d), 4(at), 110-115)
F. Rules on Promotion (4(bm), 116-121, DOH v. Philip Morris)

4. Labeling and Fair Packaging
    A. Coverage (74-76, 90, 92)
    B. Labeling Requirements (4(aq), 4(az))
        i. Minimum Requirement (77, 4(r), 4(br), 4(bt))
            a. Additional Requirements, When Authorized (79)
        ii. Special Rules
            a. PPSM (78)
            b. Children Protection (4(bq), 80)
            c. Food (84, 85)
            d. Drugs (86, 89)
            e. Cosmetics (87, 88)
            f. Hazardous Substance (91, 93)
            g. Cigarettes (94; RA 9211, 13)
    C. Price Tag Requirement (4(bd), 81-83)
    D. Prohibited Acts (95)

5. Product Service and Warranties
    A. Warranties
        i. Vis Civil Code (67, De Guzman v. Toyota Cubao)
        ii. Additional Warranties
            a. In General (68)
                1. Terms
                2. Minimum Standard
                3. Duration
                4. Breach
            b. Services (69, 71)
                1. Exception (70)
        iii. Prohibited Acts (72, 73)
    B. Defective Products and Services
        i. Products (97, 98, 100, 101, 103, 104)
            a. Remedies
        ii. Services (99, 102
        iii. Common Provisions (105, 106)
        iv. Prohibited Acts (107)

6. Other relevant consumer protections laws
    A. Price Act (Refer to RA 7581)
        i. Scope and Coverage (2, 3(1), 3(8), 4)
        ii. Price Control
            a. Prize Freezing (6, 3(6), 16)
            b. Price Ceiling (7, 8, 3(7), 16)
            c. Illegal Acts (5, 15)
                1. Hoarding
                2. Profiteering
                3. Cartel

iii. Panic Buying (3(4), 10(4))

B. Lemon Law (Refer to RA 10642)

i. Scope and Coverage (2, 4, 3(j), 3(a),3(m), 3(n), 3(d), 3(k), 3(e), 3(f), 3(i))

ii. Rights Period (3(h))

iii. Procedure and Requisites

a. 4x-Repair Rule (5)

b. Notice Requirement (6)

c. Delivery and Subsequent Actions (7)

d. Availment of remedies (8)

1. Mediation (8(a))

2. Arbitration (8(b))

3. Adjudication (8(c))

- If meritorious (8(c)(2), 9, 3(b), 3(c), 3(l))

- If not meritorious (8(c)(3))

4. Resale (10)

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**III. GOVERNMENT PROCUREMENT LAW**
*(RA 12009)*

1. Policy and Principles (2, 3, 6)

2. Scope of Applications (4, 5(i, l, o, w))

3. Modes of Procurement

A. Competitive Bidding (27)

B. Limited Source Bidding (28)

C. Competitive Dialogue (29)

D. Unsolicited Offer with Bid Matching (30)

E. Direct Contracting (31)

F. Direct Acquisition (32)

G. Repeat Order (33)

H. Small Value Procurement (34)

I. Negotiated Procurement (35)

J. Direct Sales (36)

K. Direct Procurement for Science, Technology and Innovation (37)

3. Procurement Procedure

A. In General (5 (a) (c) (d) (e) (n))

B. Bid and Awards Committee (41-46, 3 (f))

C. Strategic Planning (7-19)

C. Bidding Documents (5(c), 47-48)

D. Invitation to Bid (49-51)

E. Receipt and Opening of Bids (52-58)

F. Evaluation of Bids (59-62, 5(a))

G. Post-Qualifications (63-65)
H. Award, Implementation, and Termination (66-71)
    i. Grounds for Termination
I. Other Rules
    i. Procurement by electronic means (20-25)
    ii. Videorecording in competitive bidding (38)
    iii. Prohibition on splitting (39)
    iv. Sustainable procurement (72-77)
    v. Domestic and Foreign Procurement (78-79)
    vi. Contract prices and warranties (89-90)

4. Relationship Disclosure Requirement (81-82)

5. Suspension and Blacklisting (3(j), 98-105)

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**IV. ELECTRONIC COMMERCE ACT**
*(RA 8792)*

1. In general (3-5)

2. Legal recognition of electronic documents (6-8)
    a. Presumption (9)
    b. Confidentiality (32)
    b. Lawful access (31)

3. Communication of electronic documents (16-24)

4. Application
    a. In carriage of goods (25-26)
    b. In government (17-29)

5. Penalties for violation (33)

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**V. EASE OF DOING BUSINESS LAW**
*(RA 11032)*

1. Policy (2, 4f)
    a. What is red tape (4k)

2. Covered agencies and transactions (3, 4c, 4h)
    a. Principal responsibility of the head of office (8)
    b. Re-engineering of systems (5, 4l)

c. Citizen's charter requirement (6)
d. Zero contact policy (7)

3. Procedure in accessing government services (9)
    a. Who is an officer? (4i)
        i. ID requirement (9g)
    b. Receipt of application (9a)
    c. Actions on application (9b)
        i. Processing time (4j, 9b1)
            1. Simple and complex transactions (4d, 4m)
            2. Highly technical application (4g)
        i. Actions (4a, 9b2, 9d)
            1. Approval (9e)
            - Automatic approval or extension (10)
            2. Denial (9b2, 9c)
    d. Adjusted working schedule (9f)
    e. Establishment of public assistance desk (9h)

4. Streamlined procedure for issuing local license
    a. In general (11a, 11b. 11d, 11e)
        i. BOSS (4b)
    b. Cities/ Municipalities, specific (11c, 11e)
    c. Barangay specific (11f)

5. Streamlined procedure for issuing FSEC, FSIC, and CFIFI (12)

6. Infrastructures
    a. CBP (13)
    b. PDB (14)
    c. Interconnectivity infrastructure (15)

7. Implementing bodies
    a. CSC Anti-red tape authority (16)
    b. Anti-red tape authority (17, 18)
    c. EDB and anti-red tape advisory council (19)

8. Violations and penalties (21, 22, 23)
    a. Who is a fixer? (4e)
    b. Immunity (25)

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**LAW ON CREDIT TRANSACTIONS**
*(Refer to the New Civil Code, unless otherwise stated)*

1. Pledge and Mortgage, in general
    A. General Concepts (2085, 2087)

B. Obligations Secured (2086, 2052, 2091)
C. Contract to Pledge or to Mortgage (2092, Revised Penal Code, Art. 316)
D. Remedies of Pledgee and Mortgagee
E. Indivisibility of a Pledge or Mortgage (2089, 2090)
F. Pactum Commissorium (2087, 2088)
    i. Elements
    ii. Effect on Pledge or Mortgage (Ong v. Roban Lending Corporation)
G. Equitable Mortgage (1602-1605)

2. Real Estate Mortgage
A. General Concepts (2085, 2087, 2124, 2125)
B. Form of Real Estate Mortgage (2125, 2131)
C. Obligations Secured
    i. Dragnet or Blanket Mortgage Clause
    ii. Reliance on Security Test (Prudential Bank v. Alviar & Alviar)
D. Object of Real Estate Mortgage (2124)
    i. After Acquired Properties (People's Bank v. Dahican Lumber Company)
    ii. Effect and Extent (2126, 2127)
E. Right to Alienate Mortgage Credit (2128, 1625, 1627)
F. Right to Alienate Collateral (2085, 2130, 2129)
G. Foreclosure of Real Estate Mortgage
    i. Judicial Foreclosure (Refer to the Rules of Court, Rule 68)
        a. Complaint for Foreclosure (1)
        b. Judgment on Foreclosure (2)
        c. Equity of Redemption (2)
        d. Foreclosure Sale (3, 5, 7, 8)
        e. Right of Redemption (Huerta Alba Resort v. CA)
        f. Right to Surplus or Deficiency (4, 6)
    2. Extrajudicial Foreclosure (Refer to Act No. 3135)
        a. Special Powers (1)
        b. Foreclosure Sale
            1. Requirement of Notice (3)
            2. Conduct of Sale (2, 4)
            3. Bid Price (5)
        c. Right of Redemption (6, General Banking Law, Art. III, Sec. 47)
            1. Who may Redeem (6)
            2. How to Redeem
        d. Right to Deficiency
        e. Right to Surplus (Suico v. Philippine National Bank)
        f. Right to Possession
            1. During Redemption Period (7-9)
            2. After Consolidation of Ownership
            3. Exceptions (Rules of Court, Rule 39, Sec. 33, Sec. 16)

3. Pledge
A. General Concepts (2085, 2087, 2093, 2123)

B. Form of Pledge (2096)
C. Object of Pledge (2094, 2095)
D. Obligations Secured
E. Ownership of Collateral (2010-2103, 1951)
    i. Expropriation of the collateral.
    ii. Sale by public auction (2108, 2112)
    iii. Voluntary sale (2097)
F. Rights of Third Party Pledgor (2120, 2117, 2066- 2070, 2077-2081)
G. Right to Possession (2093, 2110)
    i. Right of Retention (2098, 2109, 2099, 2100, 2104, 2106)
    ii. Right to Payment (2102)
H. Return of Collateral (2105, 2107, 2108, 2110, 2111)
I. Foreclosure of Pledge (2112- 2119)
J. Legal Pledge (2121)
    i. Examples (1944, 1951, 1994, 2004, 546, 1731)
    ii. Foreclosure (2121-2122)

4. Chattel Mortgage
A. General Concepts (2085, 2087, 2140, 2141)
B. Form of Chattel Mortgage (Chattel Mortgage Law 4, 5, 6)
C. Obligations Secured (Chattel Mortgage Law 5)
D. Object of Chattel Mortgage (2124)
    i. Reasonable Description Rule (Chattel Mortgage Law 7)
    ii. After Acquired Properties (Chattel Mortgage Law 7)
E. Ownership of Collateral (Revised Penal Code, Art. 319)
F. Foreclosure of Chattel Mortgage (Chattel Mortgage Law 8, 14)
    i. Equity of Redemption (Chattel Mortgage Law 13,14)
    ii. No Right of Redemption
    iii. Right to Possession
    iv. Right to Surplus or Deficiency (1484; Chattel Mortgage Law 14)

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**BANKING & BANKING-RELATED LAWS**

**I. SECRECY OF BANK DEPOSITS**
*(Refer to RA 1405, unless otherwise indicated)*

1. Policy (1)

2. Deposits covered (1, Ejercito v. Sandiganbayan)

3. Prohibited acts (2, 3)
a. Exceptions (2; RA 7653, 26; RA 3019, 8; RA No 9160, 11; RA 9372, 27; PD 679, 2; PDIC Charter, 8 (a)(b); NIRC as amended by RA 10963, 6(f), RA 11479, 35; Unionbank v. CA (1999))
b. Penalties (5)

4. Foreign currency deposit (RA 6426, 8)

5. Garnishment not precluded
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**II. TRUTH IN LENDING ACT**
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1. Purpose (2, 3(2))

2. Obligation of creditor (4, 3(4), 3(3))

3. Covered and excluded transactions (3(2), 3(3))

4. Consequence of non-compliance (6)

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**III. PHILIPPINE DEPOSIT INSURANCE CORPORATION ACT**
*(Refer to RA 3591, as amended by RA 9302, RA 9576, and RA 10846)*

1. Policy (2)
    a. Duty to insure (6, 5d, 5i)

2. Coverage
    a. Concept of insured deposit (5 (g) and (j), PDIC v. Gidwani, Linsangan v. PDIC)

2. Creation of PDIC (1, 3)
    a. Powers
        i. Financial assistance (22e)
        ii. Liquidation of banks (12a, 5e, 14a,)
        iii. Payment of insured deposit
            1. Procedure (19, 21, 5e, h, z)
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2. Elements

a. Issuance for value (Idos v. Court of Appeals)
    i. Check as mere guarantee (Que v. People)
b. Knowledge of insufficiency of funds (1, 2, 4, Lim Lao v. Court of Appeals)
c. Dishonor (3, Cabrera v. People)

3. Penalties (1, 5)
a. In relation to estafa (Revised Penal Code, 315 (2), Nierras v. Dacuycuy)

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**V. ANTI-MONEY LAUNDERING ACT**
*(Refer to RA No 9160, as amended by RA No. 9194, RA 10365, and RA 10927, unless otherwise stated)*

1. Policy (2)

2. Covered persons (3a, l)
a. Obligations of covered institutions (9)
    i. Customer identification
    ii. Record keeping
    iii. Reporting of covered and suspicious transactions

3. Covered transactions (3b, 3h)

4. Suspicious transactions (3b-1, DBP v. AMLC)

5. Beneficial ownership (2018 AMLA IRR, amended 2021, Rule 23 and 24)

6. Preventive measures and obligation of covered persons
a. Prohibited accounts (2018 AMLA IRR, amended 2021, Rule 2, Section 1 (l) (n); Rule 17)
b. Customer Due Diligence (2018 AMLA IRR, amended 2021, Rule 2, Section 1 (aa) (ii) (g); Rule 18)

7. Money laundering; how committed (4, 3c, e, f)
a. Unlawful activities or predicate crimes (3i)

8. Anti-Money Laundering Council (7)
a. Freezing of monetary instrument or property (10, Republic v. San Juan)
b. Authority to inquire into bank deposits (11)
c. Request assistance from foreign states (13)

9. Safe Harbor Provision (2018 AMLA IRR, amended 2021, Rule 22, Section 7)

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    a. Terrorism financing (3d-e, h-j, 4-9, 19)
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*(RA 11199)*

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ii. Amount
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7. Penalties (28, Ambassador Hotel v. SSS)

*Course Policies:*

1. Course Conduct. The course will be conducted in a full face-to-face format, unless otherwise provided. Class-related files will be shared through a Google Shared Drive and announcements will be released via email. A class beadle will also be designated on the first day of class. Communications from the students to the lecturer shall be coursed through said beadle.

2. Attendance. If a student is called for recitation but is absent, the student receives a zero for recitation, unless the student notifies the lecturer the day before class, with proper documentation. Perfect attendance (*i.e.,* without *any* absence, *even if excused*) will be given -0.25 in final grade. The class beadle will be the designated attendance checker.

3. Exams. All exams will be taken individually by students in a face-to-face setting. The first exam will only cover topics from the start of the semester until the class session immediately before the first exam date, while the second exam will only cover topics discussed *after* the first exam onwards. In addition, there will be a **comprehensive** final departmental exam, which will be a standard exam for both BA 166 sections and will cover all topics discussed during the semester.

4. Missed Exams. Students may be allowed take a make-up examination if the inability to take the exam is due to any of the following valid reasons. *(Note that this is an exhaustive list.)*
   a. Health reasons, such as physical or mental sickness, evidenced by a medical certificate **duly validated by the University Health Service**, confinement record, etc.
   b. College or University-sanctioned competition, evidenced by an excuse letter from the faculty adviser.
   c. Fortuitous events, such as calamities or accidents, evidenced by police reports, photo documentation, etc.

   It is the student's responsibility to promptly notify the lecturer after the actual happening or knowledge of the reason mentioned above. Meanwhile, it is the lecturer's right to verify the documentation received from the student. The lecturer solely determines the validity of the student's justification for missing an exam and the decision shall be final and irrevocable. If a student misses an exam without a valid reason, the student will get a zero for that exam.

5. Grade Solicitation. The university rule on grade solicitation shall be enforced.
   Article 194. PROHIBITION AGAINST GRADE SOLICITATION
   "No student of the UNIVERSITY shall SOLICIT directly or indirectly (ask any person to recommend him to his professor or professors) any grade FROM AN INSTRUCTOR (in his record, examination paper or final report of grades). Any student violating this rule shall lose credit in the subject or subjects regarding which such (recommendation) SOLICITATION is made (the fact that a student is thus recommended shall be prima facie evidence that the recommendation is made at the request of the student concerned), WITHOUT PREJUDICE TO THE FILING OF A CASE FOR DISCIPLINARY ACTION."

6. Code of Student Conduct. Every student is expected to be honest in all academic work. The following acts of misconduct are punishable by:
   a. For the first violation, suspension for a minimum of two (2) months, to expulsion.
   b. For the second violation, expulsion.

   - Cheating; giving, receiving, taking assistance, or making unauthorized use of information from written material, another person, his or her paper, or from any other source (except as explicitly allowed by the lecturer) before or during an examination or other written exercise.
   - Copying; providing the means or accessing the means to copy exam answers, homework, projects, laboratory experiments, term papers, etc.
   - Manipulating or altering a corrected exam paper; removing, hiding, or altering library materials or stealing another person's materials.
   - Impersonation, or allowing another person to take an examination in one's name, and/or impersonating another student or allowing someone to impersonate oneself in an academic activity.

7. Objection Period on Grades. Prior to encoding of the final grades in CRS, students will be given a grace period to bring errors in grade recording and/or computation to the attention of the lecturer. Upon the expiration of said period, the tentative grades will be considered final and irrevocable.

Any other concerns or clarifications not addressed above will be determined in accordance with issued UP memoranda on academic guidelines, or if unavailable, solely at the lecturer's discretion.